

Nielsen numbers, say Britannia is the market leader with around 33 per cent share, while Parle Products is at 28-29 per cent, followed by ITC at 10 per cent. While that is the overall picture, the story varies across segments, where competition gets really hot. For instance, ITC's Mom's Magic, a high-visibility brand on mass media, is directly up against Good Day. Berry believes his rival's share has been capped, with Britannia still accounting for around 35 per cent share of cookies.

According to Antique Stock Broking's Kundu, Good Day is to Britannia what Surf is to Hindustan Unilever. "It is a key driver of premiumisation. Through smaller packs, it reaches out to the masses and yet, there is a premium quotient that comes with it," he says. It is Britannia's "carrier brand" or the one distributors and retailers must stock. "We will need to increase penetration in smaller markets and take the premiumisation route with, say, a chocochip. There is no limit to how much we can do," says Berry.

In many ways, it requires an innovative approach

60 per cent on a year-on-year basis," says Dua.

The rub for Britannia is cream, where ITC's Sunfeast range has over 25 per cent market share. Like cookies, this too is a high-growth category (14-15 per cent in value terms, when the overall market is at 10-11 per cent) and at one point, Britannia dominated it with Bourbon, Jimjam and Pure Magic; today it has a little over 20 per cent. "Yes, it is a challenge and in the next six months, you are going to see some spectacular work on cream. We lost a bit of momentum and need to regain it," admits Berry. Typically, the high-growth segments alternate between cream and cookies, with Britannia wanting to consolidate in the former. "You will see some violent action," he says quite confidently.

The question in the minds of most folks is: what will the entry of Reliance Retail in FMCG mean? Those familiar with Reliance's plans say its model will focus on the supply chain and ensure retail outlets are more in touch with consumers' needs. Berry picks his words carefully when he says they have scale: "But FMCG is a tough ter-

IN SNACKS, THE CONUNDRUM FOR A COMPANY LIKE BRITANNIA IS TO DEAL WITH HIGH VOLUMES AND MARGINS LOWER THAN IT IS USED TO

to go about the business across all categories. Kohli speaks of "doubling down" the route to market. "How do I get more chemists to stock NutriChoice (a digestive biscuit) or just accelerate our plethora of launches? We must focus on a few things—premiumisation and what our core is."

The effort to reach out to more outlets and the number of rural distributors is up 2.8x in the past five to six years, taking the total to 28,000. Gaurav Dua, Senior Vice President and Head of Capital Market Strategy at Sharekhan by BNP Paribas, points out that Britannia's core biscuits business continues to grow faster than the industry, helping it sustain market share gains. "The third quarter of FY23 was the 39th consecutive quarter of share gains and is mainly on account of strong distribution expansion, especially in the rural markets, and consistent new product launches," he says. The new launches in the premium and health & wellness segments include Biscafe and NutriChoice Seeds, Herbs & Protein, which according to him, have delivered revenue growth of 5x and 4x, respectively. "Meanwhile, 50-50 Golmaal reported a 2x shift in revenue and Milk Bikis Classic was up

rain and quite different, too." Quickly, he smiles when you ask him about the missing links in Britannia's portfolio. "There is a lot of steam left in biscuits and for a segment like cakes, this is only the beginning," he says. In the organised ₹1,500-crore cakes business, Britannia is among the largest, yet can only grow. "We did bar cakes and can now look at value-added or centre-filled. Within croissants, the possibilities are endless, plus there are opportunities in cereal bars or protein bars. We are also evaluating *makhana* and ready-to-eat popcorn."

What will please Berry is not just for biscuits to sustain its healthy growth story but also its contribution to the larger pie dropping. "The non-biscuits portfolio needs to take off. In the last 10 years, the biscuits business has steadily gained share and grown faster than the market," he says. He is quick to add that the non-biscuits piece "also has to grow faster and will grow faster". Clearly, he is expecting consumers to help themselves to a generous share of Britannia's portfolio. If these beginnings can hold out, there is something to look forward to. **BT**

@krishnagopalan